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UNIVERSIDAD COMPLUTENSE MADRID

NORTH AMERICAN UNIVERSITIES REUNIDAS – UNIVERSIDAD COMPLUTENSE DE MADRID

"STRATEGIC MANAGEMENT COURSE"

MID-TERM EXAM, March 11, 2026

SURNAME: MONITOR **NAME:** G.M.C

PART 1. CRITICAL THINKING

1. The brand name "Apple" is considered, jointly with the company's technological innovation, one of its main assets. Justify that sentence according to the Resource-Based View (Analysis) (4 points).

Brand name → Intangible RR; Tech. Inv. → Capability
Strategic Analysis → 8 criteria according RBV.

Brand Name

1) Value → Prod. diff, customer loyalty → ✓
2) Scarcity → By law, it's unique → ✓
3) Durability → as Intang. resource → No expir. date ✓
4) Complementary → brand represents the company and its quality, product. ✓
5) Diff. imitate → Protected by law. ✓
6) Non-tradeable → There is no market for brands ✓
7) Non substitutable → How can rivals overcome the utility of a brand? ✓

} Competitive Advantage (CA) Sustained Competitive Advantage (SCA)

8) Rent appropriation → As brand belongs a 100% to the firm, there is no problems of rent appropiation ✓ } S.CA + Rent Appropiation

BUSINESS CASE: COMPETITIVE DYNAMICS IN SPANISH GAS AND OIL INDUSTRY

The gas and oil industry in Spain is a critical component of the country's energy sector. Despite Spain's reliance on imports for most of its oil and gas needs, the industry plays a significant role in the economy. The Spanish oil and gas market had total revenues of $123.2 billion in 2022, representing a compound annual growth rate (CAGR) of 6% between 2017 and 2022.

The gas and oil industry in Spain implies the need for substantial capital investment and compliance with stringent environmental regulations. Established companies benefit from their

large production capability and established distribution networks, making it challenging for new competitors to enter the market. Spain's reliance on imports for its oil and gas supply means that major suppliers, MNCs located in the United States, Mexico, and Brazil, have substantial control over the availability and pricing of these resources. Any disruptions in supply or changes in global oil prices can significantly impact the cost structure and profitability of Spanish companies in the industry. Buyers include industrial consumers, transportation companies, but mainly millions of individual households. However, the increasing availability of renewable energy sources, such as wind, solar, and hydropower, and sustainable transportation is a market tendency, becoming more viable and cost-effective. Also, Government policies promoting green energy and reducing carbon emissions further drive the adoption of these alternatives. The industry is highly competitive, with four major players—Repsol, Cepsa, Galp, and BP—controlling approximately 70% of the market. These companies compete on multiple fronts, including price, quality, and technological innovation. The industry's cyclical nature, influenced by global oil prices and economic conditions, adds to the competitive pressure.

Questions:

2. Is the Spanish oil and gas industry attractive? Explain it through the Porter's Five Forces Model (4 points)

1) Current Rivalry { Only 4 firms (70%) → Technical oligopoly → ↑ Ind. Attract.
Market grow → ↓ Current rivalry → ↑ Ind. Attract

2) Threat New Entrants { High Barriers of Entry → Cap. Investm + others → ↓ Threat of Entry → ↑ Ind. Attract.

3) Subst. Products { ↑ Renewable energies + ↑ Govn. Subsidies → ↑ Threat of Subst. Product → ↓ Ind Attract.

4) Barg. Power Buyers { There are millions → ↓ Barg Pow → ↑ Ind. Attract.
They can move to renewable eng → ↑ Barg. Pow → ↓ Ind Attract

5) Barg. Power Supplier { Spain → No gas/oil
Large MNC supplies } → ↑ Barg Power → ↓ Ind Attract.

4 opportunities
3 threaths
↓
Medium-to high attractiveness degree

AS DRAFT conclusion

3. Give three strategic (and realistic) responses to improve industry's attractiveness (3 points)

Idea: To think about Industry threats detected (or even improving some opportunity.
Some possible actions:

1) Reduce Ind. competitors
- Mergers and acquisitions
- Alliances - cartels

2) Reduce threat of entry
- Close doors to the industry => lobbying
- Tariff for foreign company
- Get out Galp or BP (non Spanish companies

3) Reduce threat of subst. products
- Change the law
- Lobbying to reduce subsidies to green energy
- Tech. impr => less polluting gas and oil

4) Reduce Barg. power of suppliers
- Vertical Integration)
- Diversify sources of foreign suppliers
- Buy some of the suppliers

5) Reduce Barg. power of customers
- Create barrier to mobility
- Reduce tax on gas and oil making more attractive gas/oil to customers